

and are able to set prices as well as revenue model terms. In this content-brand-driven world, consumers identify most closely with the content and the brand itself, not the device it plays on or the transportation medium through which it arrives. Other members of the value chain, especially operators and device manufacturers, compete intensely again each other for differentiating content. By using access to top content as currency, content or brand owners and publishers will extend their control of the value chain by buying, or just controlling, content distribution points.

Opportunities and Risks in the Content Producer Scenario

If content producers dominate mobile entertainment, operators and manufacturers will earn only a minor share of content revenues while paying premium prices for exclusive access to brands. In some cases, operators and manufacturers will be forced to distribute less-desirable content in order to gain access to popular brands. This group's opportunity lies in its ability to license content proven in other media for translation to mobile. By providing content owners with mobile expertise, operators and manufacturers could capitalize on content owners' unfamiliarity with the medium. Because content owners will always be somewhat isolated from the technology and the data of mobile entertainment, operators and manufacturers could compete effectively with each other by providing business-critical information to content providers. Portals: Being closer to the content side of the value chain, specialty portals and niche-market mobile sites have better opportunities in this scenario than in the two previous ones. By aligning themselves with content producers, portals could ride the content wave and capture consumer loyalty. Nonetheless, there will be few independent portals, even in this scenario. Publishers and content owners will be the prime consolidators will control the main conduit to consumers. Service Providers: Service Providers with value-added offerings (especially in gateway infrastructure, billing, support or tracking) can succeed in this scenario. Their opportunity is in providing cross-network services, technical expertise, sales trends and market to content owners. The risk, however, is that Service providers become natural takeover targets for content owners seeking growth or control over technical expertise.